FY2026 Equipment and Leases · Draft Findings for the CPA

Findings for the CPA from audit procedures; not an audit report and no opinion.

Client	HANGS Construction Services LLC
Period	Construction equipment and leases, fiscal year ended June 30, 2026
Engagement	Year-end audit procedures for the owners, the bonding company and the lender: the equipment register, additions, disposals, depreciation and leases.
Prepared from	11 files: the trial balance, the fixed asset register, the purchase invoices and capital requests, the disposal documents, the hours log, the policy, the rental register, the crane rental agreement, the office lease amendment and the lease schedule
Prepared by	The F1 Finance Audit Machine, a demonstration. Fixed procedures on invented data; no AI model was used.
Status	Draft. Not reviewed, concluded or signed. Nothing was posted or sent to the client, its vendors, the bank or the bonding company.

Materiality, Proposed

Contract revenue for the year, the benchmark	$68,989,500.00
Materiality: 0.5% of revenue, rounded down	$340,000.00
Performance materiality: 75%	$255,000.00
Equipment cost, rolled forward to account 1550	$7,120,000.00

What the Procedures Found

Procedure	What was found	Amount
Leases	A 36-month crane rental is a lease, not on the balance sheet (LEASE-02)	$519,770.65
Leases	The office lease is not recognized; the disclosure left out the increases (LEASE-01)	$1,580,613.31
Disposals	A crane sold in March is still on the register; its gain is unrecorded (SALE-01)	$69,387.68
Additions	A repair to an owned excavator was capitalized in a loader's invoice (CAP-01)	$41,250.00
Depreciation	One asset is depreciated over half the policy's life (DEP-01)	$23,343.96
Approvals	One addition was bought with no signed request (APR-01)	$84,150.00
Recomputed	Every other asset's depreciation recomputes to the cent	$424,700.00

Signature: none. This memo is not an audit report and expresses no opinion. The CPA reviews the workpapers, decides every open item and concludes. No adjustment has been posted.

DRAFT FOR THE CPA

Draft Findings Memo

Against Materiality

Known misstatements in income, net	**($6,635.13)**
Lease liabilities not recorded (LEASE-01 and LEASE-02)	**$2,100,383.96**
Performance materiality	$255,000.00
Materiality	$340,000.00

What was done

The machine agreed the register to the books, rolled cost and accumulated depreciation forward asset by asset, vouched every addition to its invoice and request, read every invoice line, tested both disposals against their documents, recomputed every asset's depreciation from the policy, read the hours log, and tested every rental and the office lease under ASC 842.

What the records support

The additions exist and agree with their invoices; the scrapped trailers were removed correctly; depreciation recomputes at the register's lives. The misses are in what the register holds and what the balance sheet leaves out: a sold crane, a repair, two leases.

What the CPA decides before concluding

1. Whether the client records LEASE-01 and LEASE-02, together above materiality on the balance sheet. 2. SALE-01, CAP-01 and DEP-01, which nearly offset in income. 3. The control findings APR-01 and LIFE-01. 4. Materiality (MAT-01) and the representation letter (MRL-01).

What the machine does not do

It does not give an audit opinion, sign anything, contact a vendor or the bank, or post an adjustment. The CPA concludes; the machine stops here.

DRAFT FOR THE CPA

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Materiality · Contract Revenue, the Benchmark

$68,989,500.00

Workbook: Planning!B15

Draft figure · the CPA reviews and concludes

Planning!B15 = $68,989,500.00

=B9

Planning!B9 = $68,989,500.00

=-('E01 Trial Balance'!D35+'E01 Trial Balance'!D36)

E01 Trial Balance!D35 = ($68,928,250.00)

E01 Trial Balance!D36 = ($61,250.00)

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!D35, Trial Balance!D36

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Materiality · Materiality, Proposed

$340,000.00

Workbook: Planning!B16

Draft figure · the CPA reviews and concludes

Planning!B16 = $340,000.00

=ROUNDDOWN(B15*B29/10000,0)*10000

Planning!B15 = $68,989,500.00

=B9

Planning!B9 = $68,989,500.00

=-('E01 Trial Balance'!D35+'E01 Trial Balance'!D36)

E01 Trial Balance!D35 = ($68,928,250.00)

E01 Trial Balance!D36 = ($61,250.00)

Planning!B29 = 0.500%

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!D35, Trial Balance!D36

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Materiality · Performance Materiality

$255,000.00

Workbook: Planning!B17

Draft figure · the CPA reviews and concludes

Planning!B17 = $255,000.00

=ROUND(B16*0.75,2)

Planning!B16 = $340,000.00

=ROUNDDOWN(B15*B29/10000,0)*10000

Planning!B15 = $68,989,500.00

=B9

Planning!B9 = $68,989,500.00

=-('E01 Trial Balance'!D35+'E01 Trial Balance'!D36)

E01 Trial Balance!D35 = ($68,928,250.00)

E01 Trial Balance!D36 = ($61,250.00)

Planning!B29 = 0.500%

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!D35, Trial Balance!D36

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Roll Forward · Equipment Cost, Rolled Forward

$7,120,000.00

Workbook: Roll Forward!B13

Draft figure · the CPA reviews and concludes

Roll Forward!B13 = $7,120,000.00

='E02 Asset Register'!K33

E02 Asset Register!K33 = $7,120,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Fixed Assets/FY2026 fixed asset register.xlsx · Register!K33

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Roll Forward · Accumulated Depreciation, Rolled Forward

$2,465,500.00

Workbook: Roll Forward!C13

Draft figure · the CPA reviews and concludes

Roll Forward!C13 = $2,465,500.00

='E02 Asset Register'!P33

E02 Asset Register!P33 = $2,465,500.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Fixed Assets/FY2026 fixed asset register.xlsx · Register!P33

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Additions · Additions, Vouched to Invoices

$1,432,500.00

Workbook: Additions!B15

Draft figure · the CPA reviews and concludes

Additions!B15 = $1,432,500.00

=SUM(B8:B14)

Additions!B8 = $419,900.00

='E03 Purchase Invoices'!F11

E03 Purchase Invoices!F11 = $419,900.00

Additions!B9 = $186,000.00

='E03 Purchase Invoices'!F14

E03 Purchase Invoices!F14 = $186,000.00

Additions!B10 = $338,000.00

='E03 Purchase Invoices'!F17

E03 Purchase Invoices!F17 = $338,000.00

Additions!B11 = $96,600.00

='E03 Purchase Invoices'!F20

E03 Purchase Invoices!F20 = $96,600.00

Additions!B12 = $148,750.00

='E03 Purchase Invoices'!F23

E03 Purchase Invoices!F23 = $148,750.00

Additions!B13 = $84,150.00

='E03 Purchase Invoices'!F26

E03 Purchase Invoices!F26 = $84,150.00

Additions!B14 = $159,100.00

='E03 Purchase Invoices'!F30

E03 Purchase Invoices!F30 = $159,100.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Additions/FY2026 equipment purchase invoices.pdf · PDF pages 1 to 7; one vendor invoice per addition, every line

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Additions · Rebuild Capitalized (CAP-01)

$41,250.00

Workbook: Additions!B17

Draft figure · the CPA reviews and concludes

Additions!B17 = $41,250.00

='E03 Purchase Invoices'!F29

E03 Purchase Invoices!F29 = $41,250.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Additions/FY2026 equipment purchase invoices.pdf · PDF pages 1 to 7; one vendor invoice per addition, every line

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Additions · Income Overstated by the Rebuild (CAP-01)

$40,808.04

Workbook: Additions!B21

Draft figure · the CPA reviews and concludes

Additions!B21 = $40,808.04

=B17-B20

Additions!B17 = $41,250.00

='E03 Purchase Invoices'!F29

E03 Purchase Invoices!F29 = $41,250.00

Additions!B20 = $441.96

=B18-B19

Additions!B18 = $1,704.64

='E02 Asset Register'!G32

E02 Asset Register!G32 = $1,704.64

Additions!B19 = $1,262.68

=ROUND((B14-B17-ROUND((B14-B17)*'E07 Policy'!C16,2))/'E07 Policy'!B16,2)

Additions!B14 = $159,100.00

='E03 Purchase Invoices'!F30

E03 Purchase Invoices!F30 = $159,100.00

E07 Policy!C16 = $0.10

E07 Policy!B16 = $84.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Additions/FY2026 equipment purchase invoices.pdf · PDF pages 1 to 7; one vendor invoice per addition, every line

02 Fixed Assets/FY2026 fixed asset register.xlsx · Register!G32

06 Policies/Fixed asset and lease accounting policy.docx · Word paragraphs; capitalization, approval, lives and salvage by class, depreciation and leases

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Additions · Addition With No Request (APR-01)

$84,150.00

Workbook: Additions!C29

Draft figure · the CPA reviews and concludes

Additions!C29 = $84,150.00

=B13

Additions!B13 = $84,150.00

='E03 Purchase Invoices'!F26

E03 Purchase Invoices!F26 = $84,150.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Additions/FY2026 equipment purchase invoices.pdf · PDF pages 1 to 7; one vendor invoice per addition, every line

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Disposals · Crane Gain Not Recorded (SALE-01)

$69,387.68

Workbook: Disposals!B18

Draft figure · the CPA reviews and concludes

Disposals!B18 = $69,387.68

=B13-B17

Disposals!B13 = $180,000.00

='E05 Disposals'!B14

E05 Disposals!B14 = $180,000.00

Disposals!B17 = $110,612.32

=B15-B16

Disposals!B15 = $553,061.60

='E02 Asset Register'!K8

E02 Asset Register!K8 = $553,061.60

Disposals!B16 = $442,449.28

='E02 Asset Register'!L8+'E02 Asset Register'!M8

E02 Asset Register!L8 = $442,449.28

E02 Asset Register!M8 = $0.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

04 Disposals/FY2026 equipment disposals.pdf · PDF pages 1 to 3; the recycler's certificate, the bill of sale and the bank's lien release

02 Fixed Assets/FY2026 fixed asset register.xlsx · Register!K8, Register!L8, Register!M8

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Depreciation · Depreciation, Recomputed

$424,700.00

Workbook: Depreciation!B33

Draft figure · the CPA reviews and concludes

Depreciation!B33 = $424,700.00

=SUM(B8:B32)

Depreciation!B8 = $0.00

=0

Depreciation!B9 = $0.00

=0

Depreciation!B10 = $0.00

=0

Depreciation!B11 = $0.00

=0

Depreciation!B12 = $25,436.04

=ROUND(('E02 Asset Register'!H12+'E02 Asset Register'!I12-'E02 Asset Register'!F12)/'E02 Asset Register'!E12,2)*12

E02 Asset Register!H12 = $635,900.00

E02 Asset Register!I12 = $0.00

E02 Asset Register!F12 = $127,180.00

E02 Asset Register!E12 = $240.00

Depreciation!B13 = $32,415.96

=ROUND(('E02 Asset Register'!H13+'E02 Asset Register'!I13-'E02 Asset Register'!F13)/'E02 Asset Register'!E13,2)*12

E02 Asset Register!H13 = $405,200.00

E02 Asset Register!I13 = $0.00

E02 Asset Register!F13 = $81,040.00

E02 Asset Register!E13 = $120.00

Depreciation!B14 = $26,424.00

=ROUND(('E02 Asset Register'!H14+'E02 Asset Register'!I14-'E02 Asset Register'!F14)/'E02 Asset Register'!E14,2)*12

E02 Asset Register!H14 = $330,300.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Fixed Assets/FY2026 fixed asset register.xlsx · Register!H12, Register!I12, Register!F12, Register!E12, Register!H13, Register!I13

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Depreciation · EQ-3388 Depreciation at the Policy Life (DEP-01)

$23,343.96

Workbook: Depreciation!B36

Draft figure · the CPA reviews and concludes

Depreciation!B36 = $23,343.96

=ROUND(('E02 Asset Register'!H11-'E02 Asset Register'!F11)/'E07 Policy'!B11,2)*12

E02 Asset Register!H11 = $291,800.00

E02 Asset Register!F11 = $58,360.00

E07 Policy!B11 = $120.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Fixed Assets/FY2026 fixed asset register.xlsx · Register!H11, Register!F11

06 Policies/Fixed asset and lease accounting policy.docx · Word paragraphs; capitalization, approval, lives and salvage by class, depreciation and leases

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Depreciation · EQ-3388 Accumulated Depreciation Overstated (DEP-01)

$81,704.26

Workbook: Depreciation!B39

Draft figure · the CPA reviews and concludes

Depreciation!B39 = $81,704.26

=B38-B37

Depreciation!B38 = $233,440.00

='E02 Asset Register'!P11

E02 Asset Register!P11 = $233,440.00

Depreciation!B37 = $151,735.74

=ROUND(('E02 Asset Register'!H11-'E02 Asset Register'!F11)/'E07 Policy'!B11,2)*78

E02 Asset Register!H11 = $291,800.00

E02 Asset Register!F11 = $58,360.00

E07 Policy!B11 = $120.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Fixed Assets/FY2026 fixed asset register.xlsx · Register!P11, Register!H11, Register!F11

06 Policies/Fixed asset and lease accounting policy.docx · Word paragraphs; capitalization, approval, lives and salvage by class, depreciation and leases

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Leases · Crane Lease Present Value at the Start (LEASE-02)

$699,392.72

Workbook: Leases!B17

Draft figure · the CPA reviews and concludes

Leases!B17 = $699,392.72

=ROUND(B14*(1-(1+(B15/12))^(-B16))/(B15/12)*(1+(B15/12)),2)

Leases!B14 = $21,500.00

='E09 Crane Agreement'!B13

E09 Crane Agreement!B13 = $21,500.00

Leases!B15 = 7.100%

='E07 Policy'!B10

E07 Policy!B10 = $0.07

Leases!B16 = $36.00

='E09 Crane Agreement'!B12

E09 Crane Agreement!B12 = $36.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

07 Leases/Westgate crane rental agreement WER-RA-3318.pdf · PDF page 1; the Westgate crane rental agreement’s term, rent, equipment and conditions

06 Policies/Fixed asset and lease accounting policy.docx · Word paragraphs; capitalization, approval, lives and salvage by class, depreciation and leases

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Leases · Crane Lease Liability, June 30, 2026 (LEASE-02)

$519,770.65

Workbook: Leases!B19

Draft figure · the CPA reviews and concludes

Leases!B19 = $519,770.65

=ROUND(B14*(1-(1+(B15/12))^(-B18))/(B15/12)*(1+(B15/12)),2)

Leases!B14 = $21,500.00

='E09 Crane Agreement'!B13

E09 Crane Agreement!B13 = $21,500.00

Leases!B15 = 7.100%

='E07 Policy'!B10

E07 Policy!B10 = $0.07

Leases!B18 = $26.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

07 Leases/Westgate crane rental agreement WER-RA-3318.pdf · PDF page 1; the Westgate crane rental agreement's term, rent, equipment and conditions

06 Policies/Fixed asset and lease accounting policy.docx · Word paragraphs; capitalization, approval, lives and salvage by class, depreciation and leases

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Leases · Office Lease Liability, June 30, 2026 (LEASE-01)

$1,580,613.31

Workbook: Leases!B33

Draft figure · the CPA reviews and concludes

Leases!B33 = $1,580,613.31

=ROUND(B23*(1-(1+(B15/12))^(-6))/(B15/12)*(1+(B15/12))+(1+(B15/12))^(-6)*B24*(1-(1+(B15/12))^(-12))/(B15/12)*(1+(B15/12))+(1+(B15/12))^(-18)*B25*(1-(

Leases!B23 = $32,000.00

='E10 Office Lease'!B14

E10 Office Lease!B14 = $32,000.00

Leases!B15 = 7.100%

='E07 Policy'!B10

E07 Policy!B10 = $0.07

Leases!B24 = $32,960.00

='E10 Office Lease'!B15

E10 Office Lease!B15 = $32,960.00

Leases!B25 = $33,948.80

='E10 Office Lease'!B16

E10 Office Lease!B16 = $33,948.80

Leases!B26 = $34,967.26

='E10 Office Lease'!B17

E10 Office Lease!B17 = $34,967.26

Leases!B27 = $36,016.28

='E10 Office Lease'!B18

E10 Office Lease!B18 = $36,016.28

Source files and cells (the full formula chain is in the workbook and on the review screen):

07 Leases/Harbor Ridge office lease first amendment.pdf · PDF page 1; the office lease amendment's new term and its rent schedule

06 Policies/Fixed asset and lease accounting policy.docx · Word paragraphs; capitalization, approval, lives and salvage by class, depreciation and leases

Original documents are attached to this PDF. The workbook is attached too.

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

Leases · Office Right-of-Use Asset (LEASE-01)

$1,568,742.50

Workbook: Leases!B36

Draft figure · the CPA reviews and concludes

Leases!B36 = $1,568,742.50

=B33-B32

Leases!B33 = $1,580,613.31

=ROUND(B23*(1-(1+(B15/12))^(-6))/(B15/12)*(1+(B15/12))+(1+(B15/12))^(-6)*B24*(1-(1+(B15/12))^(-12))/(B15/12)*(1+(B15/12))+(1+(B15/12))^(-18)*B25*(1-(

Leases!B23 = $32,000.00

='E10 Office Lease'!B14

E10 Office Lease!B14 = $32,000.00

Leases!B15 = 7.100%

='E07 Policy'!B10

E07 Policy!B10 = $0.07

Leases!B24 = $32,960.00

='E10 Office Lease'!B15

E10 Office Lease!B15 = $32,960.00

Leases!B25 = $33,948.80

='E10 Office Lease'!B16

E10 Office Lease!B16 = $33,948.80

Leases!B26 = $34,967.26

='E10 Office Lease'!B17

E10 Office Lease!B17 = $34,967.26

Leases!B27 = $36,016.28

='E10 Office Lease'!B18

E10 Office Lease!B18 = $36,016.28

Leases!B32 = $11,870.81

=B30-B31

Leases!B30 = $203,870.81

=ROUND(B28/60*6,2)

Source files and cells (the full formula chain is in the workbook and on the review screen):

07 Leases/Harbor Ridge office lease first amendment.pdf · PDF page 1; the office lease amendment's new term and its rent schedule

06 Policies/Fixed asset and lease accounting policy.docx · Word paragraphs; capitalization, approval, lives and salvage by class, depreciation and leases

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Leases · Office Rent Understated (LEASE-01)

$11,870.81

Workbook: Leases!B32

Draft figure · the CPA reviews and concludes

Leases!B32 = $11,870.81
=B30-B31

Leases!B30 = $203,870.81
=ROUND(B28/60*6,2)

Leases!B28 = $2,038,708.08
=12*SUM(B23:B27)

Leases!B23 = $32,000.00
='E10 Office Lease'!B14

E10 Office Lease!B14 = $32,000.00

Leases!B24 = $32,960.00
='E10 Office Lease'!B15

E10 Office Lease!B15 = $32,960.00

Leases!B25 = $33,948.80
='E10 Office Lease'!B16

E10 Office Lease!B16 = $33,948.80

Leases!B26 = $34,967.26
='E10 Office Lease'!B17

E10 Office Lease!B17 = $34,967.26

Leases!B27 = $36,016.28
='E10 Office Lease'!B18

E10 Office Lease!B18 = $36,016.28

Leases!B31 = $192,000.00
=B23*6

Source files and cells (the full formula chain is in the workbook and on the review screen):
07 Leases/Harbor Ridge office lease first amendment.pdf · PDF page 1; the office lease amendment's new term and its rent schedule

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Leases · Controller's Disclosure Short (LEASE-01)

$96,439.41

Workbook: Leases!B35

Draft figure · the CPA reviews and concludes

Leases!B35 = $96,439.41

=B33-B34

Leases!B33 = $1,580,613.31

=ROUND(B23*(1-(1+(B15/12))^(-6))/(B15/12)*(1+(B15/12))+(1+(B15/12))^(-6)*B24*(1-(1+(B15/12))^(-12))/(B15/12)*(1+(B15/12))+(1+(B15/12))^(-18)*B25*(1-(

Leases!B23 = $32,000.00

='E10 Office Lease'!B14

E10 Office Lease!B14 = $32,000.00

Leases!B15 = 7.100%

='E07 Policy'!B10

E07 Policy!B10 = $0.07

Leases!B24 = $32,960.00

='E10 Office Lease'!B15

E10 Office Lease!B15 = $32,960.00

Leases!B25 = $33,948.80

='E10 Office Lease'!B16

E10 Office Lease!B16 = $33,948.80

Leases!B26 = $34,967.26

='E10 Office Lease'!B17

E10 Office Lease!B17 = $34,967.26

Leases!B27 = $36,016.28

='E10 Office Lease'!B18

E10 Office Lease!B18 = $36,016.28

Leases!B34 = $1,484,173.90

='E11 Lease Schedule'!H8

E11 Lease Schedule!H8 = $1,484,173.90

Source files and cells (the full formula chain is in the workbook and on the review screen):

07 Leases/Harbor Ridge office lease first amendment.pdf · PDF page 1; the office lease amendment's new term and its rent schedule

06 Policies/Fixed asset and lease accounting policy.docx · Word paragraphs; capitalization, approval, lives and salvage by class, depreciation and leases

07 Leases/FY2026 lease schedule.xlsx · Leases!H8

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Leases · Lease Liabilities Not Recorded

$2,100,383.96

Workbook: Leases!B38

Draft figure · the CPA reviews and concludes

Leases!B38 = $2,100,383.96

=B19+B33

Leases!B19 = $519,770.65

=ROUND(B14*(1-(1+(B15/12))^(-B18))/(B15/12)*(1+(B15/12)),2)

Leases!B14 = $21,500.00

='E09 Crane Agreement'!B13

E09 Crane Agreement!B13 = $21,500.00

Leases!B15 = 7.100%

='E07 Policy'!B10

E07 Policy!B10 = $0.07

Leases!B18 = $26.00

Leases!B33 = $1,580,613.31

=ROUND(B23*(1-(1+(B15/12))^(-6))/(B15/12)*(1+(B15/12))+(1+(B15/12))^(-6)*B24*(1-(1+(B15/12))^(-12))/(B15/12)*(1+(B15/12))+(1+(B15/12))^(-18)*B25*(1-(

Leases!B23 = $32,000.00

='E10 Office Lease'!B14

E10 Office Lease!B14 = $32,000.00

Leases!B24 = $32,960.00

='E10 Office Lease'!B15

E10 Office Lease!B15 = $32,960.00

Leases!B25 = $33,948.80

='E10 Office Lease'!B16

E10 Office Lease!B16 = $33,948.80

Leases!B26 = $34,967.26

='E10 Office Lease'!B17

E10 Office Lease!B17 = $34,967.26

Source files and cells (the full formula chain is in the workbook and on the review screen):

07 Leases/Westgate crane rental agreement WER-RA-3318.pdf · PDF page 1; the Westgate crane rental agreement’s term, rent, equipment and conditions

06 Policies/Fixed asset and lease accounting policy.docx · Word paragraphs; capitalization, approval, lives and salvage by class, depreciation and leases

07 Leases/Harbor Ridge office lease first amendment.pdf · PDF page 1; the office lease amendment’s new term and its rent schedule

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Adjustments · Known Misstatements in Income, Net ($6,635.13)

Workbook: Adjustments!C12

Draft figure · the CPA reviews and concludes

Adjustments!C12 = ($6,635.13)

=SUM(C8:C11)

Adjustments!C8 = $69,387.68

=B8

Adjustments!B8 = $69,387.68

='Disposals'!B18

Disposals!B18 = $69,387.68

=B13-B17

Disposals!B13 = $180,000.00

='E05 Disposals'!B14

E05 Disposals!B14 = $180,000.00

Disposals!B17 = $110,612.32

=B15-B16

Disposals!B15 = $553,061.60

='E02 Asset Register'!K8

E02 Asset Register!K8 = $553,061.60

Disposals!B16 = $442,449.28

='E02 Asset Register'!L8+'E02 Asset Register'!M8

E02 Asset Register!L8 = $442,449.28

E02 Asset Register!M8 = $0.00

Adjustments!C9 = ($40,808.04)

=-B9

Adjustments!B9 = $40,808.04

='Additions'!B21

Additions!B21 = $40,808.04

=B17-B20

Source files and cells (the full formula chain is in the workbook and on the review screen):

04 Disposals/FY2026 equipment disposals.pdf · PDF pages 1 to 3; the recycler's certificate, the bill of sale and the bank's lien release

02 Fixed Assets/FY2026 fixed asset register.xlsx · Register!K8, Register!L8, Register!M8, Register!G32, Register!H11, Register!F11

03 Additions/FY2026 equipment purchase invoices.pdf · PDF pages 1 to 7; one vendor invoice per addition, every line

06 Policies/Fixed asset and lease accounting policy.docx · Word paragraphs; capitalization, approval, lives and salvage by class, depreciation and leases

Original documents are attached to this PDF. The workbook is attached too.

07 Leases/Harbor Ridge office lease first amendment.pdf · PDF page 1; the office lease amendment's new term and its rent schedule

DRAFT FOR THE CPA

WHAT STILL NEEDS A PERSON

LEASE-02 · $519,770.65: Westgate Equipment Rentals's agreement WER-RA-3318 rents an identified crane for 36 months, non-cancellable, from September 1, 2025: a lease, not a rental. Operating (present value 51.8% of its value). Proposed: a right-of-use asset and a lease liability of $519,770.65 at June 30, 2026, and the lease disclosures.

LEASE-01 · $1,580,613.31: The office lease's new 60-month term is not recognized. Liability $1,580,613.31 and right-of-use asset $1,568,742.50 at June 30, 2026; the controller's schedule left out the 3% increases and disclosed $1,484,173.90. Straight-line rent adds $11,870.81 to FY2026 rent expense.

SALE-01 · $69,387.68: EQ-2740 was sold on March 16, 2026 for $180,000.00, paid to the bank against the term loan. The register still carries it; the proceeds were credited to accumulated depreciation. Proposed: debit accumulated depreciation $622,449.28, credit cost $553,061.60 and a gain on sale $69,387.68.

CAP-01 · $40,808.04: Cascade Iron Equipment invoice CIE-26-30612 capitalized a $41,250.00 rebuild of EQ-3388 inside EQ-4416. Proposed: expense the rebuild and reduce EQ-4416's cost; income overstated by $40,808.04 after its June depreciation.

DEP-01 · $23,343.96: EQ-3388 is depreciated over 60 months; the policy says 120 for its class and nothing documents a shorter life. At the policy life FY2026 depreciation is $23,343.96 more and accumulated depreciation $81,704.26 less. The CPA decides with the equipment manager.

APR-01 · $84,150.00: EQ-4415, gps machine control and layout system, $84,150.00, bought June 8, 2026 with no signed capital expenditure request, against the policy. A control deficiency for the CPA to evaluate; the asset exists and is in use.

LIFE-01: 4 fully depreciated assets are still in daily use (EQ-3122, EQ-3388, EQ-3901, EQ-3990). The CPA considers whether the class lives are too short.

MAT-01 · $340,000.00: Materiality is proposed at $340,000.00, 0.5% of revenue, with performance materiality $255,000.00. The engagement partner sets the final amounts.

MRL-01: No management representation letter has been obtained. It should cover the completeness of the fixed asset register, leases and disposals.

SIGN-01: These are draft workpapers and a draft findings memo for the engagement partner. They are not an audit report and give no opinion. Nothing has been signed, posted or sent.

This memo is a draft for the engagement partner. It is not an audit report and expresses no opinion; nothing has been signed, posted or sent.

DRAFT FOR THE CPA